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MEMORANDUM

TO: Mike Santowski

FROM: Michael Pheney

CC: Logistics Staff

DATE: October 1, 2010

SUBJECT: September Monthly Report – Pharmaceutical Logistics Operations

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Transportation

- TSA—St. Louis Plant is now a certified cargo screening facility.
- IPS has finished their initial programming changes. The API CSR process to pre-code cost codes will be eliminated.
- K+N final offer is in place resulting in a potential **cost increase** of $150-200K for ocean shipments across Imaging and Pharmaceuticals. A final review by world area will be prepared for the businesses in October. The lane from Cincinnati to Opglabbeek will be switched to Panalpina. SOP's to be developed and a Panalpina visit will be scheduled.
- YRC has requested a general rate increase effective 10/1 with an impact of approx. $27K across all Pharma facilities.
- JPMorgan presented their Trade Channel Solution for electronic Letters of Credit. This system provides increased visibility for LOC status and lower transaction costs. Customer Service and the Credit Dept. will decide if they want to implement with Trade Compliance to facilitate any changes in process with our brokers.
- US Customs has **not** approved our Duty Draw back Program for Raw materials used to produce Optiray but they did send us our 3rd Q payment for MP104 for $49.6K
- Quality has approved Hapag proposal for new fumigation process for Opium shipments from India. Fumigation along with new heat treated pallets should eliminate the bug infestation issue. The new process will be in place for the October shipments.
- The Hobart Plant has just implemented their new security procedures for truckload shipments which includes both Swift and Fed Ex.

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FY 10 SummaryTransportation:

	Transportation Spend		
	FY09	FY10 thru Aug	FY10 Budget
Pharma	14,366,498	10,783,324	14,119,468
Contrast	5,038,842	4,036,349	5,489,633
Nuclear Direct	20,030,014	18,683,861	17,747,362
Nuclear Pharmacy	20,543,726	13,673,959	18,117,558
Total	59,979,080	47,177,493	55,474,021
Freight as % of Sales	3.8%	3.5%	3.7%

Transportation spend for FY10 will be below planned levels primarily due to lower than forecasted volumes, lower fuel costs, mode changes and savings programs. Despite strong September shipments, numbers should remain below planned levels.

Contrast Media: Currently $1.4M below budget

- Volume impact for Optiray / Optimark plus elimination of Barium line effective in Feb. 2010
- Initial budget projected ASD charge back for LTL spend which did not occur: $500K
- Use of non-reefer carrier for summer months: $250-$300K

Pharma Products: Currently $3.3M below budget

- API Product Lines volume down from budgeted volumes:
  - APAP: Volumes down approx 4M KGS from volumes used on budget
  - Aug. 2009 Ocean RFQ savings based on volume and offset by midyear increases: $200K
- Specialty Pharma
  - Generic volume down
  - Move from Fed Ex to Swift TL for large customers: $350 - 400K

Nuclear Medicine: Currently $3.3M below budget

- Impact of Pharmacies closing: $4.4M
- M99 Supply issues costing additional cost $936K

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Transportation Project FY 10 Review:

Project	Status	Savings	Comments
Inbound Transportation	Carry over to 2011	$55.7K thru July	Working with plant purchasing to insure carrier compliance. Savings thru new contract with Shears Express for Hobart inbound
Export Ocean Lane mini-RFQ	Complete	NA	Mini-RFQ for FCL and LCL Pharma lanes missed in '09 RFQ. New rate tool in place for CSR's. Should reduce spot rates and improve service.
TSA CCSF Certification	Complete	NA	Hobart and St Louis narcotics have received their approval for certified screening facilities. St Louis has received their number and is ordering stickers. Hobart has stickers and starting process
FedEx Level of Service	Terminated	NA	Due to security issues a change to 2 day delivery from St Louis was dropped
IPS Freight Cost Reporting	Open	NA	Updated freight cost reporting in IPS system. Initial programming completed now in review and correction phase.

Trade Compliance Project Review:

Project	Status	Savings	Comment
Insurance Certificates	Complete	NA	New process and correct insurance certificates for CIF shipments
Export Record Keeping	Complete	NA	Checklist developed for CSR and Export Planners for record keeping compliance.
Import Reconciliation	Complete	NA	Value of all US imports reviewed and adjustments made for required CBP Filings. Annual process in place
Raleigh & Greenville C-TPAT	Complete	NA	Plants received C-TPAT certification – will be more critical in FY11 with new EU ISF Requirements.
Routed Exports	Complete	NA	CSR training and documented process for determining Routed Transactions. SLI modified to capture routed designation. Now Covidien-wide process
Standardized SLI Document	Open	NA	Standardized SLI document for Imaging, Pharma and Resp that contains the required information for US customs AES filing by brokers. Eliminated SED for Imaging. Additional changes in FY11

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Trade Compliance Strategy	Complete	NA	Use of risk analysis tool and process mapping to help define priority TC projects for FY10
NAFTA	Complete	NA	Review of all Pharma products for NAFTA qualification, new process in place for compliant records and elimination of unnecessary documents for duty free products. On going in FY11
Compliance Training	Complete for FY10	NA	TC training for API Sales and Marketing, GBU Purchasing, API CSR's and Export Planners, R&D leadership. New training for FY11
Export Broker KPI	Open	NA	Developing new SOP's and KPI's for exports. In place for Panalpina and UPS. K+N in progress. Monthly calls in place to review metrics – has become Covidien-wide process
Data Integrity	Open	NA	Validate HTS, ECCN, COO information in JDE for all FG and reconcile differences between EMEA and US classifications. Will continue in FY11
Chicago FDA Review	Open	NA	Meet with FDA in Chicago to review Nuclear Medicine and improve relations. Work completed with regulatory group. Visit on hold.
MP104 Duty Draw Back	Complete	$156,192	MP104 Duty Draw Back – will continue in FY11
Optiray Duty Draw Back	Open	$0	Waiting on CBP approval for DDB claims for raw materials used in Optiray. Potential annual savings of $90K. CBP has been contacted by Broker, Mansfield Compliance group and TC Analyst
Audit of Nuclear Export Process	Open	NA	Now incorporated into Oasis to JDE conversion process and will become new FY11 Project
Standardize Commercial Invoice	Open	Soft savings of $50K thru streamlined work process for CSR	Insure compliance and eliminate manual adjustments to TRAX documents for Pharma and Imaging. Initial ASR complete and new document in place. Additional adjustments to be completed in FY11

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Distribution Operations

- Cincinnati Q3 operations review-Pheney/Beardsley
- Cincinnati distribution operations overview & tour- Rohling/Young/Renfer.
- STLP received TSA Screening Certification.
- Global Warehousing finished $1.5MM under budget for FY10. *(excluding cross charges for global affiliates)*
- GHS/CLP label requirements being supported by Rohling. EH&S project must be complete by 12/1/10 to comply with new regulations.
- Priority projects identified for FY11
- ST/OT orders transitioned from Materials Mgt. to Raleigh DC.
- ComPAP inventory primarily contained on site without Gateway assistance.
- Raleigh--Striping of rows and reconfiguration increased capacity by 2.8%.
- APAP inventory dropped during September due scheduled plant shut down.
- Internal complaint by Greenville regarding damaged pallets being worked by Jeff Banal (Raleigh).
- UFR at 99.7% for September.
- Raleigh DC continues to receive damaged product from manufacturing, Jeff working the issue with APAP packaging.
- Work continues on SKU standard weights, destruction process and leaning out of WIP movement between buildings.
- Gateway currently at 95% capacity.
    - Work continues on temperature mapping protocol.
    - Ioversol shipments to Raleigh expedited due to inventory situation.
- Hobart
    - Capacity Vault = 27% Cage=50%.
    - Cooler in cage area has been removed.
    - Supervisor offices and conference room remodeling complete.
    - Security screening and equipment check by Hobart security implemented.
    - Flow through racks in vault reconfigured to improve replenishment and picking operations.
    - Hobart finished FY10 $667k below budget.

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FY10 Distribution Operations Review:

Project Name	Status	Date	$ Impact	Savings Type/Notes
Hobart DC Top Spoke	Complete	November	N/A	Hobart DC top Covidien DC 3rd consecutive year
LATAM Cost to Serve	Complete	December	N/A	Dissected supply channel into LATAM with Costs/cross charges
Project Bear	Complete	January	N/A	Supported Project Bear/Mexico City Plant shutdown
Dosage Alternate Stg.	Complete	February	$360k	Cost avoidance/Dosage stored in new STLP West Vault
UK Pallet Standardization	Complete	February	$12k	Improved design to address damage issue in-transit
Exalgo/Pennsaid Launch	Complete	April	N/A	Met time line for launch
Standardized Packaging	Complete	April	N/A	Standardized Packaging for Hydrocodone/Codiene Phosphate
101 Replacement/Gateway	Complete	April	$443k	August LE
TSP Global Data Logger	Complete	May	$310k	19% reduction in Joliet outbound freight
Raleigh direct to Alcala, Spain	Complete	May	TBD	Drop ship Contrast Media to Alcala by-passing Neustadt
Hobart Vault Expansion	Complete	June/July	$419k	$250k Capital returned to project/$169k labor savings
Gateway-APAP	Complete	June	$239k	Cost Avoidance Exit of Burlington Warehouse/Raleigh

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Nuclear

- Termination notices delivered to AirNet and ACI for CLE-DTW. Hosted on site review and implementation planning session with MDS. Customers notified.
- Raleigh JDE CER Approved
- Mallinckrodt GLN created. GTIN registration initiated for all SKUs.
- Hobart audit proposal built for steering committee review.
- American Airlines/Covidien launches 6 TI project.
- Project management process review held with Cincinnati key personnel.
- MH DC project hopper review.
- Project management documents updated for FY 11 launch.
- Project management scorecard created and launched.
- MH CER created and routed.
- Revised courier contract drafted to support RFP.

Nuclear FY10 Year in Review:

PROJECT NAME	STATUS	SAVINGS	SAVINGS TYPE/ NOTES
Pharmacy Rate Reductions	Complete	$467,000	Hard: Per mile rate X total volumes X AVG miles per delivery
Fleet Vehicle Turn In	Complete	$266,000	Hard: Annual cost X # of vehicles, prorated to date of sale
AirNet Rate Renegotiated	Complete	$230,000	Soft: cost avoidance of 4.5% increase
AirNet FSC Reduction (50%)	Complete	$205,000	Hard: fuel surcharge savings
West Coast Charter Elimination	Complete	$900,000	Hard: first full year of savings
MH Headcount Reduction (2)	Complete	$150,000	Hard
Project PUMA	Complete	NA	Pharmacy Sale- Distribution Support
Project Purple	Complete	NA	Complete analysis for migration to FedEx PO
Marketing Reviews	Complete	NA	Initiated monthly collaborative review process with Marketing
American Airlines TI Increase	Complete	$200,000	Savings effective Nov 2010
Brazil Supply Chain Kaizen	Complete	NA	In support of Contrast/ Planning
OASIS Order Entry Conversion	In Progress	NA	In support of IS/CS
Pharma International Ocean Kaizen	Complete	NA	In support of Pharma
Maryland Heights DC Allocations	Complete	$100,000	Soft: recalibrated cross charge methodology
Nuclear KPIs	Complete	NA	Service project
LatAm Bar III Licensing	Complete	NA	Service project
UMSL Analysis	Complete	NA	Service project
Canada Sunday Flow	Complete	NA	Service project
Green Belt Mentoring	Complete	NA	Service project
Direct Freight RFP	In Progress	TBD	Service project
Generator Returns	In Progress	$200,000	Hard
Friday Line Haul	In Progress	$200,000	Hard
Twice Daily Shipments	In Progress	$1M	Hard
GOV accounts to FedEx	In Progress	$300,000	Hard

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Case Labeling Initiative	In Progress	NA	Capital project
ePedigree Initiative	In Progress	NA	Capital project
Lean Awareness Training for DCs	Complete	NA	Service project

Comments:

- Volumes were up dramatically this year due to competitor raw material outage.
- Supply lanes were challenged due to increased volumes and contraction of AA flights and TI capacity (40% decrease).
- HFR Maintenance resulted in a shutdown of our primary raw material supplier for approximately 7 months.
- FY 2009 total shipments: 77,104
- FY 2009 cost per delivery: $252
- FY 2010 total shipments: 92,451 (Increase of 20%)
- FY 2010 cost per delivery: $217 (Decrease of 14%)
- Estimated savings (92,451 shipments X $35): $3,235,785

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EMEA API Logistics

- Customer Database pilot customers entered into the database. The implementation plan and timeline have been set with completion target date end of January 11.
- The first groups have attended the Microsoft Office 2007 training with favourable feedback.
- Questions have been asked following a meeting held by Eldon and his team on the recall and hold processes. An interdepartmental meeting is being planned for October as we investigate the requirements.
- BMS issues with our big bags and how they bulge are being investigated and opportunities with the filling and banding of bags have been implemented. An example bag used by their Chinese supplier is being requested from BMS.

API Europe Trade Compliance

- Brokerage KPIs – Replenishment Order Imports – August 2010
  - ICL 75% 3 passes and 1 fail.
  - KN 50% 2 passes and 2 fail.
  - Panalpina 100% 2 passes.
- HTS Dbase – August 2010
  - No new codes or amendments this month.
- Customs have responded to the information provided for the duty reclaim and requested that a duty reclaim form be completed.
- Progress not made on the requirements for 'Known Shipper Status' for the movements of goods by air this month.

API Europe Planning & Warehousing

- Pallets at month end were 2500 against a target of 3200. The short supply of the sifted grade material and a reduction in requirements for 0081 by BMS are the significant items that have put us below target. Other stocks target levels are OK.

• UK Leigh Back Order target: < $302000.	Aug :	$40,000. On Target.
	Sept LE:	$165,000 On Target.
UK Leigh UFR target: >90%.	Aug :	87%. On Target
	Sept LE:	TBC.
	YTD	TBC
• Inventory (excl. SAB) Value $8527	Aug LE:	$6520 On Target
	Sept LE:	$6546 On Target

- Follow up is required on the draft quality agreement passed by QSE to Norbert Dentressangle for review.
- As a trial we have placed the temperature data loggers within the warehouse. The mapping study will then take place during FY11.
- Concerns on compliance to the CLP new label requirements in Europe.

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API EU Freight

- We are still waiting for confirmation of a credit from DSV for the new LTL RFQ rates.
- BMS reported much improved service and relationship on a return visit to them this month. In September we have experienced issues with availability of vehicles. The biggest issue for BMS is when we change delivery dates with less than 7 days notice. This is a known requirement and I will be in contact with DSV for anything we can do to improve in this area.
- BMS have a very strong working relationship with a local freight supplier Delsol. Andre will contact them and arrange for a meeting with them.
- Working through some payment issues with Ge-Ex. Invoices have been received by us directly and not via the IPS payment system. Waiting for a response from Ge-Ex.
- Cathy working on rate request increases with KN including lanes relative to UK customers.

API EU Year in Review:

PROJECT NAME	STATUS	SAVINGS	SAVINGS TYPE/ NOTES
JDE Replenishment Planning	Complete	N/A	Implementing the DRP JDE system for the Leigh warehouse replenishment requirements.
Freight Spend Analysis	Re-scoped	N/A	Improving data availability through management accounts, IPS, and marketing information. Re-scoped in response to a team member leaving.
AEO Gap Analysis	Complete	N/A	Completed a gap analysis for the Chesterfield site to be able to apply for AEO registration.
Op-Ex Introduction to the Logistics team.	Complete	N/A	Introduction of the site initiatives with 5s and waste walks into the Logistics area and introducing a 5s champion into the team.
Product Recall Test	Complete	N/A	Perform a test to identify capabilities of reports via JDE and the Comprec system.
FTL RFQ	Complete	N/A	Providing data and implementing the new rates and suppliers following the RFQ into our systems.
5S	Complete	N/A	Department 5S champion introducing the process to our archive room and providing support to other departments on site.
CSD Metrics	Complete	N/A	Working with Charity to have visibility of order processing metrics for the UK API team.
Freight Payment MFR process	Complete	N/A	Part of the freight analysis re-scope train a team member on the process followed by the EMEA freight team.
Freight Management Accounts and Budget Monitoring	In progress	N/A	Part of the freight analysis re-scope to train a team member on the process set up and develop for improved FY11 monitoring with the US freight team.
Known Shipper for Airfreight	In progress Due Dec 10	N/A	Confirming the requirements for Known shipper status for airfreight to evaluate best next steps.
Planning Cover	In progress Due Dec	N/A	Following on from the replenishment planning project to introduce another team member to the process and

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PROJECT NAME	STATUS	SAVINGS	SAVINGS TYPE/ NOTES
	10		documented procedures available for the planning process.
TRAX Rules	In progress Due Dec 10	N/A	To learn and document how to set up rules in TRAX.
Standard Inco-Terms	In progress Due Dec 10	N/A	To agree standard and document Inco-Terms with the Sales and Marketing team for EMEA customer agreements.
Warehouse GMP audit	In progress Due Dec 10	N/A	To prepare the warehouse for a customer quality audit and develop our own audit review sheet.
Warehouse SOPs	In progress Due Dec 10	N/A	To document warehouse procedures to be compliant to GMP requirements.
GMP Training	In progress Due Dec 10	N/A	Develop an introduction and ongoing set of GMP training presentations for the warehouse and Logistics team.
IPS Data	In progress Due Jan 11	N/A	To work with IPS to confirm data requirements and with the Finance team to improve the payment process
Non-EU UK Export Audit Tool	In progress Due Oct 10	N/A	To have an audit tool that meets HMR&C requirements to validate customs declarations, provide evidence of export to support zero rated VAT and record how irregularities are reported and auctioned.
Returned Goods and QStock Management	In progress Due Oct 10	N/A	To have a process for returned goods through JDE with interdepartmental responsibilities. To have JDE access controls for the movement of goods between saleable and quarantine stock that supports GMP.
UK Sample Shipment	In progress Due Dec 10	N/A	To improve the quality of samples shipped from the UK site. To meet the US Tax requirements for the drop shipment of samples to an affiliates customer.
LTL RFQ	In progress Due Sept 10	N/A	Providing data and implementing the new rates following the RFQ into our systems.
Customer Dbase	In progress Due Jan 11	N/A	To have a database that stores non-standard agreements made with customers and details maintained by the CSAs to meet customer order and delivery requirements. Replacing the current Customer Specs it will provide data that can be interrogated and reported out.

Comments:

- Volumes were down this year due to a spike in demand towards the end of FY09 in anticipation of Swine Flu demand that was followed by reduced demand due to the Swine Flu not happening and our customers reducing their inventory.
- Freight rates were challenged for transatlantic movements as the steamship lines create an imbalance in demand by reducing capacity.
- Full collaborative review and implementation of GMP compliance at the Leigh warehouse with our QA Coordinator that led to controlled and issued SOPs,

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successful Customer Quality Audits and a Temperature Mapping protocol and schedule.

- Continued JDE system development for the Chesterfield site following implementation in the previous year with our Sample, RGA and TRAX Rules projects and performing the full physical count using the JDE process for the first time.
- Working with reduced resources due to a headcount not being replaced.
- UFR on target at 96%
- Back Orders below monthly target of $325 K
- Target Inventory LE below target of $7470 K at $6141 K average of last 3 months.
- FY09 EMEA Sales: $97,177 K
- FY10 EMEA Sales: $89,782 K
- FY10 Orders Invoiced: 2560
- FY10 No. of Customers: 329
- FY10 No. of Countries: 46

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